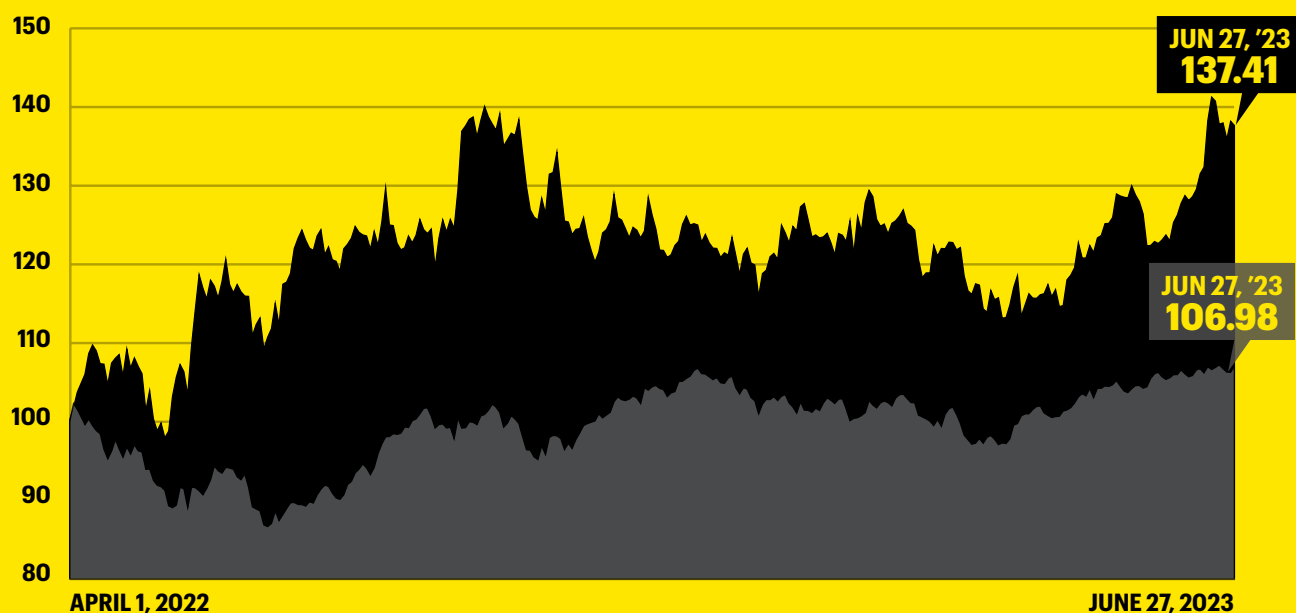


ON A TEAR

ASHOK LEYLAND'S STOCK HAS BEEN SHOOTING UP IN RECENT MONTHS



● ASHOK LEYLAND ● S&P BSE SENSEX
DATA HAS BEEN INDEXED TO 100; SOURCE BSEINDIA.COM

in the north and east of the country where its presence was low, strengthened its international business, created a pipeline of products for the future that would run on different fuels, and cut costs.

These moves pushed up Ashok Leyland's vehicle volume sales by more than 50 per cent in FY23, steering the company back on the path of profitability. But even as it looks prepared for the future, Ashok Leyland needs to plug gaps in its portfolio of products, ensure a new management development programme does not wither, tackle the industry's expected decelerated pace of growth in FY24 following two years (FY22 and FY23) of strong up-

tick in sales, and keep a sharp eye out for changes in the demand cycle that might impact its business.

FY21 WAS DEBILITATING not only for Ashok Leyland but also for the industry. Interestingly, the slowdown came into being a year before even the pandemic, which surprised industry veterans, including Hinduja. Pointing out that the industry enjoyed a four-five year upcycle after a slowdown in FY13, Hinduja says everyone expected the boom to last till the end of FY20, given that new BSVI emission norms were to come into effect on April 1, 2020. "Ev-

► **Its AVTR range of modular trucks has given it good volumes, so has its light vehicles portfolio, where it is relatively small**

► **It is experimenting with vehicles using different kinds of fuels, and is preparing itself for a future that may see a mix of fuels powering vehicles**

► **Light vehicles form a third of Leyland's sales, and could corner greater share as it focusses on growing its profits**